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POLICY NUMBER: **FP-FIN-039**

DERIVATIVES & HEDGING

ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings Inc.'s ("Hilton") accounting for derivatives and hedging in accordance with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

POLICY STATEMENT

A derivative is a financial instrument or contract whose cash flows or fair value fluctuate based on changes in one or more underlyings. The contract must contain one or more notional amounts, payment provisions or both. Together, the underlying and notional amount or payment provision determine the amount of settlement, or if settlement is required.¹

Hilton enters into derivatives, some of which are designated as fair value or cash flow hedges, as part of its risk management strategy to manage exposure to market risks associated with interest rates and foreign currency exchange rates. Hilton does not enter into derivative financial instruments for trading or speculative purposes. Hilton may seek hedge accounting on its derivative instruments, accordingly, various requirements must be met to obtain and maintain the hedge designation for accounting purposes.

SCOPE

This policy pertains to evaluations of financial instruments or other contracts that meet the definition of a derivative.

Examples of common derivatives are:

- Swaps
- Options
- Futures
- Forward contracts

This policy will focus on the following derivative subtopics included in ASC 815 given the nature of Hilton's risk management and hedging strategy:

- **Fair Value Hedges**

Fair values hedges protect existing assets, liabilities and firm commitments against changes in fair value which can result from a variety of activity. For example, being committed to purchase or sell something at predetermined terms or issuing or holding a financial instrument that has a fixed interest rate and maturity. A derivative in a fair value hedge will typically unlock a price, exchange rate or index that ordinarily would be fixed, allowing Hilton's income statement to benefit from favorable changes in the price, rate or index.²

- **Cash Flow Hedges**

Cash flow hedges protect against the risk that variable prices, costs, rates or terms make future cash flows uncertain. A cash flow hedge is a hedge of the variable cash flow of an anticipated or forecasted transaction this is probable of occurring in future, but the amount of the transaction has not been fixed. In a cash flow hedge, Hilton is exposed to a variable (e.g., index, exchange rate, etc.) and the derivative protects Hilton by locking in the variable exposure, whereas fair value hedges protect against the risk created by fixed prices, rates or other terms.³

Refer to the related policies and procedures below for further guidance on the accounting for these particular types of derivatives.

APPLICABILITY

This policy applies to all Finance, Treasury and Legal personnel.

EXCLUSIONS/ EXCEPTIONS

This policy does not apply to normal purchases/sales, leases, certain contracts involving Hilton's equity (e.g., share-based compensation awards) and/or certain contracts (e.g. debt instruments) involving embedded derivatives. See the related documents section below for applicable accounting policies.

¹ ASC 815-10-15-83, *Derivatives and Hedging, Overall, Scope and Scope Exceptions*

² ASC 815-25, *Derivatives and Hedging, Fair Value Hedges*

³ ASC 815-30, *Derivatives and Hedging, Cash Flow Hedges*

AUTHORIZATIONS

Required Consultations with Accounting Research & Policy

Accounting Research & Policy ("R&P") must be notified in the event a financial instrument or contract is executed or modified causing the arrangement to meet the definition of a derivative (including master netting arrangements). R&P should also be consulted if there are any modifications to the underlying transactions or notional amounts hedged (i.e. debt extinguishments, changes in forecasted cash flows) that would affect settlement of a derivative instrument that is subject to hedge accounting.

INITIAL RECOGNITION AND MEASUREMENT

Hilton is required to recognize derivative instruments as assets or liabilities at fair value on the Consolidated Balance Sheet. Refer to **FP-FIN-014 – Fair Value Accounting** for guidance on appropriate accounting of fair value measurements. Hilton may elect to designate a derivative instrument as a hedge of:

- a. The exposure (including foreign currency) to the change in fair value of an asset or liability, or an unrecognized firm commitment, due to a specific risk. This is considered a fair value hedge.
- b. The exposure (including foreign currency) to variability in the cash flows of an asset or liability, or a forecasted transaction, due to a specific risk. This is considered a cash flow hedge.
- c. The foreign currency exposure of a net investment in a foreign operation.⁴

See below for further discussion on fair value and cash flow hedges. Note that for instruments that qualify as hedges of a net investment in a foreign operation, the unrealized gain/loss on adjustment ("CTA") in the case it is an effective hedge is released upon the sale or liquidation of the underlying investment. Refer to **FP-FIN-031 – Accounting for Foreign Currency** for guidance on the appropriate accounting of foreign currency investments and transactions involving CTA.

Non-Designated Derivative Instruments

Where Hilton chooses not to designate a derivative instrument as a hedge, the instrument is recognized as an asset or liability upon execution of the instrument and any gain or loss is recognized in earnings through the maturity of the instrument with the offset to the asset or liability depending on the instrument position, also known as mark-to-market ("MTM") accounting.

Hedge Requirements

See below for general criteria applicable to both fair value hedges and cash flow hedges; however, note that there are additional requirements based on certain nuances of the hedge arrangement, such as interest rate risk, normal purchase/sale contracts and different proportions of the same asset as a hedged item. Refer to ASC 815-20-25-5 -through10 for discussion of those additional requirements.

Hedge criteria applicable to fair value hedges only are as follows:

- An entity may designate a derivative instrument as hedging the exposure to changes in fair value of an asset or liability or an identified portion of the hedged item that is attributable to a specific risk if all of the following are met:
 - The hedged item is specifically identified as either all or a specific portion of a recognized asset or liability of an unrecognized firm commitment.
 - The hedged item is a single asset or liability or is a portfolio of similar assets or liabilities, respectively (see additional requirements for this criterion at ASC 815-20-25-12b(1) – (2)(iv)).
 - The hedged item presents an exposure to changes in fair value attributable to the hedged risk that could affect reported earnings.
 - If the hedged item is all or a portion of a debt security that is classified as held to maturity in accordance with Topic 320, the designated risk being hedged is the risk of changes in its fair value attributable to credit risk, foreign exchange risk, or both.
 - If the hedged item is a nonfinancial asset or liability, the designated risk being hedged is the risk of changes in the fair value of the entire hedged asset or liability.
 - If the hedged item is a financial asset or liability, a recognized loan servicing right, or a nonfinancial firm commitment with financial components, the designated risk being hedged is any of the following:
 - Risk of changes in the fair value of the hedged item

⁴ ASC 815-10-05-04, *Derivatives and Hedging, Overall, Overview and Background*

- Risk of changes in the fair value attributable to changes in the benchmark interest rate
- Risk of changes in fair value attributable to changes if related foreign currency exchange rates
- The risk of changes in fair value attributable to credit risk
- The item is not otherwise specifically ineligible for designation.⁵

Hedge criteria applicable to cash flow hedges only are as follows:

- An entity may designate a derivative instrument as hedging the exposure (i.e., existing asset/liability or forecasted transaction) to variability in expected future cash flows attributable to a specific risk if all of the following are met:
 - The forecasted transaction is probable and identified as either a single transaction or a group of individual transactions that share the same risk exposure for the hedge
 - The forecasted transaction is with a party external to Hilton and it presents an exposure to variations in cash flows for the hedged risk that could affect reported earnings
 - The forecasted transaction is neither relates to a recognized asset or liability or the acquisition of an asset or incurrence of a liability that will subsequently be remeasured with changes in fair value attributable to the hedged risk reported currently in earnings
 - If the variable cash flows of the forecasted transaction relate to a debt security classified as held to maturity under Topic 320, *Investments – Debt and Equity Securities*, the risk being hedged is the risk of changes in cash flows attributable to credit risk or foreign exchange risk
 - The forecasted transaction does not involve a business combination
 - The forecasted transaction is not a transaction involving Hilton's interests in a consolidated subsidiary or Hilton's own equity instruments
 - If the hedged transaction is the forecasted purchase or sale of a nonfinancial asset, the designated risk being hedged is the risk of changes in the functional currency equivalent cash flows attributable to changes in the related foreign currency exchange rates or the risk of changes in the cash flows relating to all changes in the purchase price or sales price of the asset reflecting its actual location, or the risk of variability in cash flows attributable to changes in a contractually specified component.
 - If the hedged transaction is the forecasted purchase or sale of a financial asset or liability or the variable cash inflow or outflow of an existing financial asset or liability, the designated risk being hedged is any of the following:
 - The risk of overall changes in the hedged cash flows related to the asset or liability
 - For forecasted interest receipts or payments on an existing variable-rate financial instrument, the risk of changes in its cash flows attributable to changes in the contractually specified interest rate
 - For a forecasted issuance or purchase of a debt instrument, the risk of changes in cash flows attributable to changes in the benchmark interest rate or the expected contractually specified interest rate
 - The risk of changes in the functional-currency-equivalent cash flows attributable to changes in the related foreign currency exchange rates or the risk of changes in its cash flows are attributable to credit risk
 - The item is not otherwise specifically ineligible for designation⁶

Hedge criteria applicable to foreign currency hedges only are as follows:

Both of the following conditions must be met for foreign currency cash flow, fair value and net investment hedges:

- For consolidated financial statements, either of the following conditions is met:
 1. The operating unit that has the foreign currency exposure is a party to the hedging instrument.
 2. Another member of the consolidated group that has the same functional currency as that operating unit is a party to the hedging instrument and there is no intervening subsidiary with a different functional currency. See exception to this below.
- The hedged transaction is denominated in a currency other than the hedging unit's functional currency.⁷

If neither of the conditions above are met, a subsidiary may enter into an intra-entity hedging instrument with the parent entity, and that contract can be a hedging instrument in the consolidated financial statements if the parent entity enters into

⁵ ASC 815-20-25-12, *Derivatives and Hedging, Hedging – General, Recognition*

⁶ ASC 815-20-25-15, *Derivatives and Hedging, Hedging – General, Recognition*

⁷ ASC 815-20-25-30, *Derivatives and Hedging, Hedging – General, Recognition*

an offsetting contract with an unrelated third party to hedge the exposure it acquired from issuing the derivative instrument to the subsidiary that initiated the hedge.⁸

Effectiveness Requirements

At both inception and on an ongoing basis, a hedge must be highly effective.⁹ An assessment of effectiveness is required whenever financial statements or earnings are reported which enables Hilton to apply hedge accounting for that quarter and corroborates the premise that Hilton can continue to apply hedge accounting for the following quarter.¹⁰ The concept of “highly effective” is not specifically defined in U.S.GAAP, although the general practice that is followed by public companies, including Hilton is changes in fair value of the derivative that are between 80% - 125% of the offsetting changes in fair value of the hedged items. This is a highly subjective assessment; therefore R&P consultation is required in all circumstances.

Documentation Requirements

If all the applicable criteria are met, Hilton may qualify for hedge accounting and designate accordingly; however, designation is optional. If hedge designation is elected, at inception of the hedge, formal documentation of the hedging relationship and Hilton’s risk management objective and strategy for executing the hedge must be documented. Hedge accounting cannot be retroactively applied after the changes in fair value of the derivative are known. Hilton’s practice is to ensure that all documentation is in place contemporaneously at the date of the instrument execution for any hedge relationship.

An overview of the requirements for hedge documentation applicable to fair value hedges, cash flow hedges and net investment hedges include the identification of:

- The hedging relationship
- The entity’s risk management objective and strategy for undertaking the hedge, including identification of all of the following:
 - The hedging instrument
 - The hedged item or transaction
 - The nature of the risk being hedged
 - The method that will be used to assess hedge effectiveness (retrospectively and prospectively)
 - If the entity is hedging foreign currency risk on an after-tax basis (the assessment of effectiveness on an after-tax basis is required)

Additional documentation requirements for fair value hedges are as follows:

- For a fair value hedge of a firm commitment, a reasonable method for recognizing in earnings the asset or liability representing the gain or loss on the hedged firm commitment.
- For a hedging relationship designated under the last-of-layer method, an analysis to support the entity’s expectation that the hedged item is anticipated to be outstanding as of the hedged item’s assumed maturity date.

Additional documentation requirements for cash flow hedges are as follows:

- For a cash flow hedge of a forecasted transaction, all relevant details should be documented, including all of the following:
 - The date on or period within which the forecasted transaction is expected to occur
 - The specific nature of asset or liability involved (if any)
 - Either of the following:
 - The expected currency amount for hedges of foreign currency exchange risk (i.e., specification of the amount of foreign currency being hedged)
 - The quantity of the forecasted transaction for hedges of other risks (i.e., specification of physical quantity)
 - If a forecasted sale or purchase is being hedged for price risk, the hedged transaction should not be specific in either of the following ways:
 - Solely in terms of expected currency amounts
 - As a percentage of sales or purchases during a period
 - The current price of a forecasted transaction should be identified to satisfy the criterion in paragraph 815-20-25-75(b) for offsetting cash flows.

⁸ ASC 815-20-25-31, *Derivatives and Hedging, Hedging – General, Recognition*

⁹ ASC 815-20-25-75, *Derivatives and Hedging, Hedging – General, Recognition*

¹⁰ ASC 815-20-25-79, *Derivatives and Hedging, Hedging – General, Recognition*

- The hedged forecasted transaction should be described with sufficient specificity so that when a transaction occurs, it is clear whether that transaction is or is not the hedged transaction.
- If the hedged risk is the variability in cash flows attributable to changes in a contractually specified component in a forecasted purchase or sale of a nonfinancial asset, identification of the contractually specified component.
- If the hedged risk is the variability in cash flows attributable to changes in a contractually specified interest rate for forecasted interest receipts or payments on a variable-rate financial asset or liability, identification of the contractually specified interest rate.¹¹

SUBSEQUENT MEASUREMENT

Fair Value Hedges

Where a derivative qualifies as a fair value hedge, the gain or loss on the derivative and the hedged item related to the hedged risk should be recognized in earnings in the same accounting period. Additionally, the gain or loss on the hedged item related to the hedged risk adjusts the carrying amount of the hedged item.¹²

Cash Flow Hedges

Where a derivative qualifies as a cash flow hedge, the gain or loss on the derivative is reported within other comprehensive income and reclassified into earnings in the same period or periods when the hedged forecasted transaction affects earnings. The balance in accumulated other comprehensive income ("AOCI") associated with the hedged transaction should equal the cumulative gain or loss on the derivative less any amounts previously reclassified from AOCI to earnings.¹³

In order to continue to apply cash flow hedge accounting, Hilton must continue to conclude that the forecasted transaction is "probable", supported by observable facts and circumstances (see ASC 815-20-25-16 for specific probability criteria). If at any time the likelihood of occurrence of a hedged forecasted transaction ceases to be "probable" hedge accounting treatment can no longer be applied on a prospective basis and all future changes in fair value of the derivative will be recognized in earnings.

Below are the three scenarios in which Hilton must cease to apply cash flow hedge accounting related to a forecasted transaction:

- If the hedge no longer meets all of the hedging criteria discussed in this policy (e.g., the hedged forecasted transaction is no longer probable)
- The derivative expires or is sold, terminated or exercised
- The entity removes the designation of the derivative as a cash flow hedge¹⁴

If any of these conditions are met, from the date the hedge is discontinued, any subsequent changes in the fair value of the derivative are accounted for under the applicable ASC 815 provisions. If the derivative continues to exist after hedge accounting is discontinued, future changes in fair value of the derivative would be accounted for in income.

The discontinuation of a cash flow hedge does not necessarily require amounts previously recorded in AOCI to be immediately reclassified into earnings. Any amounts reported in AOCI prior to the discontinuation of a cash flow hedge will remain in AOCI until the forecasted transaction affects earnings or the forecasted transaction becomes probable not to occur.¹⁵

PRESENTATION

General

Hilton is required to disclose where in the Consolidated Statement of Operations, gains and losses of its derivative instruments are reported. The amounts reclassified from AOCI shall be presented in the same income statement line item in which the earnings effect of the hedged item is reported (e.g., the reclassified amounts from AOCI for a cash flow hedge of franchise fees should be reported in "Franchise fees").¹⁶

¹¹ ASC 815-20-25-3, *Derivatives and Hedging, Hedging – General, Recognition*

¹² ASC 815-25-35-1 – 35-2, *Derivatives and Hedging, Fair Value Hedges, Subsequent Measurement*

¹³ ASC 815-30-35-3, *Derivatives and Hedging, Cash Flow Hedges, Subsequent Measurement*

¹⁴ ASC 815-30-40-1, *Derivatives and Hedging, Cash Flow Hedges, Derecognition*

¹⁵ ASC 815-30-40-4, *Derivatives and Hedging, Cash Flow Hedges, Derecognition*

¹⁶ ASC 815-20-45-1A, *Derivatives and Hedging, Hedging – General, Other Presentation Matters*

The derivative asset or liability should be treated separately from the assets or liabilities they hedge; therefore, a combined presentation of a derivative and the asset or liability it is hedging is considered inappropriate (i.e. the derivative asset or liability must be presented separately from the associated hedged debt's principal balance in the Consolidated Balance Sheet).¹⁷ Similarly, the fair value of derivatives in a loss position (liabilities) cannot be offset against the fair value of derivatives in a gain position (assets), unless the derivatives are part of a master netting arrangement (see discussion below).¹⁸

Master Netting Arrangements (R&P consultation required)

A master netting arrangement exists if Hilton has multiple contracts, whether for the same type of derivative or for different types of derivatives, with a single counterparty (i.e. bank) that are subject to a contractual agreement that provides for the net settlement of all contracts through a single payment in a single currency in the event of default on or termination of any one contract.

ASC 815-10-45-1 through 45-7 permits offsetting of fair value amounts recognized for multiple derivatives executed with the same counterparty under a master netting arrangement and fair value amounts recognized for the right to reclaim cash collateral (a receivable) or the obligation to return cash collateral (a payable) arising from the same master netting arrangement as the derivatives, however this is not required but permitted and a policy election must be made and disclosed in the notes to the consolidated financial statements. Hilton has elected to make this election to net derivative instruments subject to these arrangements and will disclose amounts recognized for the right to reclaim cash collateral or the obligation to return cash collateral that have been offset against net derivative positions at the end of each reporting period.

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the general financial statement line items affected by the accounting for derivative transactions covered by this policy. However, for all transactions that require a consultation with R&P, please defer to the guidance provided by R&P regarding the appropriate financial statement line items affected by the transaction.

<u>Transaction</u>	<u>Affected</u>		
	Balance Sheet Line Item	Income Statement Line Item	Cash Flow Statement Section
<u>Fair Value Hedge or Cash Flow Hedge</u> - Changes in the fair value of the derivative instrument	- Other long-term asset (debit) / Other long-term liability (credit) or Other current assets / Accounts payable, accrued expenses and other - OCI (debit/credit)	- N/A	- N/A
<u>Fair Value Hedge or Cash Flow Hedge</u> - Reclassify the change in the fair value of the derivative instrument in the same period when the hedged forecasted transaction affects earnings	- OCI (debit/credit) – depending on unrealized gain/loss position of the derivative instrument at transaction completion.	- Revenue / Expense (debit/credit) – note this depends on the type of transaction hedged (e.g. management or franchise fees, operating expenses)	- N/A

¹⁷ ASC 815-10-45-2, Derivatives and Hedging, Overall, Other Presentation Matters

¹⁸ ASC 815-10-45-5, Derivatives and Hedging, Overall, Other Presentation Matters

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<u>Fair Value Hedge or Cash Flow Hedge</u> - Cash received/paid on settlement of the derivative instrument	- Other long-term asset (debit) / Other long-term liability (credit) or Other current assets / Accounts payable, accrued expenses and other - Cash and cash equivalents (debit/credit)	- N/A	- Either Operating or Investing; depends on nature and timing of settlement of cash receipt/payment
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RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

[FP-FIN-007 – Accounting for Leases](#)[FP-FIN-014 – Fair Value Accounting Policy](#)[FP-FIN-022 – Debt Accounting Policy](#)[FP-FIN-031 – Accounting for Foreign Currency](#)[FP-FIN-038 – Share Based Compensation Accounting Policy](#)

TERM/ACRONYM	DEFINITION
Derivative	A financial instrument or other contract with all of the following characteristics: - Underlying, notional amount, payment provision. The contract has both of the following terms, which determine the amount of the settlement or settlements, and, in some cases, whether or not a settlement is required: - One or more underlyings - One or more notional amounts or payment provisions or both. - Initial net investment. The contract requires no initial net investment or an initial net investment that is smaller than would be required for other types of contracts that would be expected to have a similar responses to changes in market factors. - Net settlement. The contract can be settled net by any of the following means: - Its terms implicitly or explicitly require or permit net settlement. - It can readily be settled net by a means outside the contract. - It provides for delivery of an asset that puts the recipient in a position not substantially different from net settlement.
Underlying	A specified interest rate, security price, commodity price, foreign exchange rate, index of prices or rates, or other variable (including the occurrence or nonoccurrence of a specified event such as a scheduled payment under a contract). An underlying may be a price or rate of an asset or liability but is not the asset or liability itself. An underlying is a variable that, along with either a notional amount or a payment provision, determines the settlement of a derivative instrument.
Notional amount	A number of currency units, shares, bushels, pounds, or other units specified in a derivative instrument. Sometimes other names are used. For example, the notional amount is called a face amount in some contracts.
Initial net investment	The amount paid to the seller plus any fees paid or less any fees received (including depreciation).
Net settlement	The collective total of all transactions.

Payment provision	Specifies a fixed or determinable settlement to be made if the underlying behaves in a specified manner.
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ROLES & RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
For questions refer to AccountingResearchPolicy@Hilton.com	The email represents the R&P contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the R&P team or the listed e-mail.